

**SUBSTITUTE FOR
SENATE BILL NO. 698**

A bill to amend 1976 PA 388, entitled
"Michigan campaign finance act,"
by amending sections 15, 16, 17, 24b, 33, and 82 (MCL 169.215,
169.216, 169.217, 169.224b, 169.233, and 169.282), section 15 as
amended by 2015 PA 269, section 16 as amended by 2017 PA 184,
sections 17 and 33 as amended and section 24b as added by 2017 PA
119, and section 82 as amended by 1981 PA 102; and to repeal acts
and parts of acts.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 Sec. 15. (1) The secretary of state shall do all of the
2 following:
3 (a) Make available through ~~his or her~~ **the secretary of state's**
4 offices, and furnish to county clerks, appropriate forms,



1 instructions, and manuals required by this act.

2 (b) Develop a filing, coding, and cross-indexing system for
3 the filing of required reports and statements consistent with this
4 act, and supervise the implementation of the filing systems by the
5 clerks of the counties.

6 (c) Receive all statements and reports required by this act to
7 be filed with the secretary of state.

8 (d) Prepare forms, instructions, and manuals required under
9 this act.

10 (e) Promulgate rules and issue declaratory rulings to
11 implement this act in accordance with the administrative procedures
12 act of 1969, 1969 PA 306, MCL 24.201 to 24.328.

13 (f) ~~Upon~~**On** receipt of a written request and the required
14 filing, waive payment of a late filing fee if the request for the
15 waiver is based on good cause and accompanied by adequate
16 documentation. One or more of the following reasons constitute good
17 cause for a late filing fee waiver:

18 (i) The incapacitating physical illness, hospitalization,
19 accident involvement, death, or incapacitation for medical reasons
20 of ~~a person~~**an individual** required to file, ~~a person~~**an individual**
21 whose participation is essential to the preparation of the
22 statement or report, or a member of the immediate family of these
23 ~~persons~~**individuals**.

24 (ii) Other unique, unintentional factors beyond the filer's
25 control not stemming from a negligent act or nonaction so that a
26 reasonably prudent person would excuse the filing on a temporary
27 basis. These factors include the loss or unavailability of records
28 due to a fire, flood, theft, or similar reason and difficulties
29 related to the transmission of the filing to the filing official,



1 such as exceptionally bad weather or strikes involving
2 transportation systems.

3 (2) ~~A~~**The secretary of state shall issue a** declaratory ruling
4 ~~shall be issued~~ under this section only if the person requesting
5 the ruling has provided a reasonably complete statement of facts
6 necessary for the ruling or if the person requesting the ruling
7 has, with the permission of the secretary of state, supplied
8 supplemental facts necessary for the ruling. A request for a
9 declaratory ruling that is submitted to the secretary of state
10 ~~shall~~**must** be made available for public inspection ~~within~~**not later**
11 **than** 48 hours after its receipt. An interested person may submit
12 written comments regarding the request to the secretary of state
13 ~~within~~**not later than** 10 business days after the date the request
14 is made available to the public. ~~Within~~**Not later than** 45 business
15 days after receiving a declaratory ruling request, the secretary of
16 state shall make a proposed response available to the public. An
17 interested person may submit written comments regarding the
18 proposed response to the secretary of state ~~within~~**not later than** 5
19 business days after the date the proposal is made available to the
20 public. Except as otherwise provided in this section, the secretary
21 of state shall issue a declaratory ruling ~~within~~**not later than** 60
22 business days after a request for a declaratory ruling is received.
23 If the secretary of state refuses to issue a declaratory ruling,
24 the secretary of state shall notify the person making the request
25 of the reasons for the refusal and shall issue an interpretative
26 statement providing an informational response to the question
27 presented within the same time limitation applicable to a
28 declaratory ruling. A declaratory ruling or interpretative
29 statement issued under this section ~~shall~~**must** not state a general



1 rule of law, other than that which is stated in this act, until the
2 general rule of law is promulgated by the secretary of state as a
3 rule under the administrative procedures act of 1969, 1969 PA 306,
4 MCL 24.201 to 24.328, or under judicial order.

5 (3) Under extenuating circumstances, the secretary of state
6 may issue a notice extending for not more than 30 business days the
7 period during which the secretary of state shall respond to a
8 request for a declaratory ruling. The secretary of state shall not
9 issue more than 1 notice of extension for a particular request. A
10 person requesting a declaratory ruling may waive, in writing, the
11 time limitations provided by this section.

12 (4) The secretary of state shall make available to the public
13 an annual summary of the declaratory rulings and interpretative
14 statements issued by the secretary of state.

15 (5) A person may file with the secretary of state a complaint
16 that alleges a violation of this act. ~~Within~~ **Not later than** 5
17 business days after a complaint that meets the requirements of
18 subsection (6) is filed, the secretary of state shall give notice
19 to the person against whom the complaint is filed. The notice ~~shall~~
20 **must** include a copy of the complaint. ~~Within~~ **Not later than** 15
21 business days after this notice is mailed, the person against whom
22 the complaint was filed may submit a response to the secretary of
23 state. The secretary of state may extend the period for submitting
24 a response an additional 15 business days for good cause. The
25 secretary of state shall provide a copy of a response received to
26 the complainant. ~~Within~~ **Not later than** 10 business days after the
27 response is mailed, the complainant may submit a rebuttal statement
28 to the secretary of state. The secretary of state may extend the
29 period for submitting a rebuttal statement an additional 10



1 business days for good cause. The secretary of state shall provide
2 a copy of the rebuttal statement to the person against whom the
3 complaint was filed.

4 (6) A complaint filed under subsection (5) ~~shall~~**must** satisfy
5 all of the following requirements:

6 (a) Be signed by the complainant.

7 (b) State the name, address, and telephone number of the
8 complainant.

9 (c) Include the complainant's certification that, to the best
10 of the complainant's knowledge, information, and belief, formed
11 after a reasonable inquiry under the circumstances, each factual
12 contention of the complaint is supported by evidence. However, if,
13 after a reasonable inquiry under the circumstances, the complainant
14 is unable to certify that certain factual contentions are supported
15 by evidence, the complainant may certify that, to the best of ~~his~~
16 ~~or her~~**the complainant's** knowledge, information, or belief, there
17 are grounds to conclude that those specifically identified factual
18 contentions are likely to be supported by evidence after a
19 reasonable opportunity for further inquiry.

20 (7) The secretary of state shall develop a form that satisfies
21 the requirements of subsection (6) and may be used for the filing
22 of complaints.

23 (8) A person who files a complaint with a false certificate
24 under subsection (6)(c) is responsible for a civil violation of
25 this act. A person may file a complaint under subsection (5)
26 alleging that another person has filed a complaint with a false
27 certificate under subsection (6)(c).

28 (9) The secretary of state shall investigate the allegations
29 under the rules promulgated under this act. If the violation



1 involves the secretary of state, the immediate family of the
2 secretary of state, or a campaign or committee with which the
3 secretary of state is connected, directly or indirectly, the
4 secretary of state shall refer the matter to the attorney general
5 to determine whether a violation of this act has occurred.

6 (10) ~~No~~**Not** later than 45 business days after receipt of a
7 rebuttal statement submitted under subsection (5), or if no
8 response or rebuttal is received under subsection (5), the
9 secretary of state shall post on the secretary of state's ~~Internet~~
10 website whether or not there may be reason to believe that a
11 violation of this act has occurred. When the secretary of state
12 determines whether there may be reason to believe that a violation
13 of this act occurred or did not occur or determines to terminate
14 its proceedings, the secretary of state shall, ~~within~~**not later**
15 **than** 30 days ~~of~~**after** that determination, post on the secretary of
16 state's ~~Internet~~-website any complaint, response, or rebuttal
17 statement received under subsection (5) regarding that violation or
18 alleged violation and any correspondence that is dispositive of
19 that violation or alleged violation between the secretary of state
20 and the complainant or the person against whom the complaint was
21 filed. If the secretary of state determines that there may be
22 reason to believe that a violation of this act occurred, the
23 secretary of state shall endeavor to correct the violation or
24 prevent a further violation by using informal methods such as a
25 conference, conciliation, or persuasion, and may enter into a
26 conciliation agreement with the person involved. Unless violated, a
27 conciliation agreement is a complete bar to any further civil or
28 criminal action with respect to matters covered in the conciliation
29 agreement. The secretary of state shall, ~~within~~**not later than** 30



1 days after a conciliation agreement is signed, post that agreement
2 on the secretary of state's ~~Internet~~ website. If, after 90 business
3 days, the secretary of state is unable to correct or prevent
4 further violation by these informal methods, the secretary of state
5 shall do either of the following:

6 (a) Refer the matter to the attorney general for the
7 enforcement of any criminal penalty provided by this act.

8 (b) Commence a hearing as provided in subsection (11) for
9 enforcement of any civil violation.

10 (11) The secretary of state may commence a hearing to
11 determine whether a civil violation of this act has occurred. The
12 hearing ~~shall~~**must** be conducted in accordance with the procedures
13 set forth in chapter 4 of the administrative procedures act of
14 1969, 1969 PA 306, MCL 24.271 to ~~24.287.~~**24.288**. If after a hearing
15 the secretary of state determines that a violation of this act has
16 occurred, the secretary of state may issue an order requiring the
17 person to pay a civil fine not more than triple the amount of the
18 improper contribution or expenditure plus not more than \$1,000.00
19 for each violation.

20 (12) A final decision and order issued by the secretary of
21 state is subject to judicial review as provided by chapter 6 of the
22 administrative procedures act of 1969, 1969 PA 306, MCL 24.301 to
23 24.306. The secretary of state shall deposit a civil fine imposed
24 under this section in the general fund. The secretary of state may
25 bring an action in circuit court to recover the amount of a civil
26 fine.

27 (13) When a report or statement is filed under this act, the
28 secretary of state shall review the report or statement and may
29 investigate an apparent violation of this act under the rules



promulgated under this act. If the secretary of state determines that there may be reason to believe a violation of this act has occurred and the procedures prescribed in subsection (10) have been complied with, the secretary of state may refer the matter to the attorney general for the enforcement of a criminal penalty provided by this act, or commence a hearing under subsection (11) to determine whether a civil violation of this act has occurred.

(14) ~~No~~**Not** later than 60 business days after a matter is referred to the attorney general for enforcement of a criminal penalty, the attorney general shall determine whether to proceed with enforcement of that penalty.

(15) Unless otherwise specified in this act, a person who violates a provision of this act is subject to a civil fine of not more than \$1,000.00 for each violation. A civil fine is in addition to, but not limited by, a criminal penalty prescribed by this act.

(16) In addition to any other sanction provided for by this act, the secretary of state may require a person who files a complaint with a false certificate under subsection (6)(c) to do either or both of the following:

(a) Pay to the secretary of state some or all of the expenses incurred by the secretary of state as a direct result of the filing of the complaint.

(b) Pay to the person against whom the complaint was filed some or all of the expenses, including, but not limited to, reasonable attorney fees incurred by that person in proceedings under this act as a direct result of the filing of the complaint.

(17) ~~Except as otherwise provided in section 57, there~~**There** is no private right of action, either in law or in equity, under this act. ~~Except as otherwise provided in section 57, the~~**The**



1 remedies provided in this act are the exclusive means by which this
2 act may be enforced and by which any harm resulting from a
3 violation of this act may be redressed. The criminal penalties
4 provided by this act may only be enforced by the attorney general
5 and only ~~upon~~**on** referral by the secretary of state as provided
6 under subsection (10) or (13).

7 (18) The secretary of state may waive the filing of a campaign
8 statement required under section 33 ~~, 34, or 35~~ if the closing date
9 of the particular campaign statement falls on the same or a later
10 date as the closing date of the next campaign statement filed by
11 the same person, or if the period that would be otherwise covered
12 by the next campaign statement filed by the same person is 10 days
13 or less.

14 (19) The clerk of each county shall do all of the following:

15 (a) Make available through the county clerk's office the
16 appropriate forms, instructions, and manuals required by this act.

17 (b) Under the supervision of the secretary of state, implement
18 the filing, coding, and cross-indexing system prescribed for the
19 filing of reports and statements required to be filed with the
20 county clerk's office.

21 (c) Receive all statements and reports required by this act to
22 be filed with the county clerk's office.

23 (d) ~~Upon~~**On** written request, waive the payment of a late
24 filing fee if the request for a waiver is based on good cause as
25 prescribed in subsection (1)(f).

26 Sec. 16. (1) A filing official shall make a statement or
27 report required to be filed under this act available for public
28 inspection and reproduction, as soon as practicable, but not later
29 than the third business day following the day on which it is



1 received, during regular business hours of the filing official. If
2 the report is a report of a late contribution under section 32(1)
3 made to the secretary of state, the secretary of state shall also
4 make the report or all of the contents of the report available to
5 the public on the internet, without charge, as soon as practicable
6 but not later than the end of the business day on which it is
7 received, at a single website established and maintained by the
8 secretary of state.

9 (2) A **filing official shall provide a** copy of a statement or
10 part of a statement ~~shall be provided by a filing official at a~~
11 reasonable charge.

12 (3) A statement open to the public under this act ~~shall~~**must**
13 not be used for any commercial purpose.

14 (4) Except as otherwise provided in this subsection, a
15 statement of organization filed under this act with a filing
16 official who is not the secretary of state ~~shall~~**must** be preserved
17 by that filing official for 5 years ~~from~~**after** the official date of
18 the committee's dissolution. A statement of organization filed
19 under this act with a filing official who is not the secretary of
20 state that is filed by a committee that received more than
21 \$50,000.00 in an election cycle ~~shall~~**must** be preserved by that
22 filing official for 15 years ~~from~~**after** the official date of the
23 committee's dissolution. A statement of organization filed under
24 this act with the secretary of state ~~shall~~**must** be preserved by the
25 secretary of state for 15 years ~~from~~**after** the official date of the
26 committee's dissolution. Except as otherwise provided in this
27 subsection, any other statement or report filed under this act with
28 a filing official who is not the secretary of state ~~shall~~**must** be
29 preserved by that filing official for 5 years ~~from~~**after** the date



1 the filing occurred. Any other statement or report filed under this
 2 act with a filing official who is not the secretary of state that
 3 is filed by a committee that received more than \$50,000.00 in an
 4 election cycle ~~shall-must~~ be preserved by that filing official for
 5 15 years ~~from-after~~ the date the filing occurred. Any other
 6 statement or report filed under this act with the secretary of
 7 state ~~shall-must~~ be preserved by the secretary of state for 15
 8 years ~~from-after~~ the date the filing occurred. ~~Upon-On~~ a
 9 determination under section 15 that a violation of this act has
 10 occurred, all complaints, orders, decisions, or other documents
 11 related to that violation ~~shall-must~~ be preserved by the filing
 12 official who is not the secretary of state or the secretary of
 13 state for 15 years ~~from-after~~ the date of the ~~court~~ determination
 14 **is issued** or the date the violations are corrected, whichever is
 15 later. Statements and reports filed under this act may be
 16 reproduced ~~pursuant to-under~~ the records reproduction act, 1992 PA
 17 116, MCL 24.401 to 24.406. After the required preservation period,
 18 the statements and reports, or the reproductions of the statements
 19 and reports, may be disposed of in the manner prescribed in the
 20 management and budget act, 1984 PA 431, MCL 18.1101 to 18.1594, and
 21 section 11 of the Michigan history center act, 2016 PA 470, MCL
 22 399.811.

23 (5) ~~A-Except for a late filing fee required under this act, a~~
 24 filing official shall not collect a charge for the filing of a
 25 required statement or report or for a form ~~upon-on~~ which the
 26 statement or report is to be prepared. ~~, except a late filing fee~~
 27 ~~required by this act.~~

28 (6) A filing official shall determine whether a statement or
 29 report filed under this act complies, on its face, with the



1 requirements of this act and the rules promulgated under this act.

2 The filing official shall determine whether a statement or report
3 that is required to be filed under this act is in fact filed.

4 ~~Within~~ **Not later than** 4 business days after the deadline for filing
5 a statement or report under this act, the filing official shall
6 give notice to the filer by registered mail of an error or omission
7 in the statement or report and give notice to a person the filing
8 official has reason to believe is a person required to and who
9 failed to file a statement or report. A failure to give notice by
10 the filing official under this subsection is not a defense to a
11 criminal action against the person required to file.

12 (7) ~~Within~~ **Not later than** 9 business days after the report or
13 statement is required to be filed, the filer shall make any
14 corrections in the statement or report filed with the appropriate
15 filing official. If the report or statement was not filed, then the
16 report or statement ~~shall~~ **must** be late filed ~~within~~ **not later than**
17 9 business days after the time it was required to be filed and
18 ~~shall be~~ **is** subject to late filing fees.

19 (8) After 9 business days and before 12 business days have
20 expired after the deadline for filing the statement or report, the
21 filing official shall report errors or omissions that were not
22 corrected and failures to file to the attorney general.

23 (9) A statement or report required to be filed under this act
24 ~~shall~~ **must** be filed not later than 5 p.m. of the day in which it is
25 required to be filed. A ~~preelection statement or report due on July~~
26 ~~25 or October 25 under section 33 that is postmarked by registered~~
27 ~~or certified mail, or sent by express mail or other overnight~~
28 ~~delivery service, at least 2 days before the deadline for filing is~~
29 ~~filed within the prescribed time regardless of when it is actually~~



1 ~~delivered. Any other~~ statement or report required to be filed under
 2 this act that is postmarked by registered or certified mail or sent
 3 by express mail or other overnight delivery service on or before
 4 the deadline for filing is filed within the prescribed time
 5 regardless of when it is actually delivered.

6 Sec. 17. (1) A person paying a late filing fee as a result of
 7 that person's failure to file a statement or report shall pay that
 8 fee to the filing official with whom the statement or report was
 9 required to be filed.

10 (2) The late filing fees collected under sections 24, 33, ~~34,~~
 11 ~~35,~~ and 51, and copying charges collected under section 16, must be
 12 retained by and for the use of the filing officials collecting the
 13 fees or charges to cover their expenses in administering this act.
 14 A late filing fee assessed by a county clerk that remains unpaid
 15 for more than 60 days is considered a debt of the county, and the
 16 county treasurer shall collect that fee in the same manner as other
 17 county debts are collected. A late filing fee assessed by the
 18 secretary of state that remains unpaid for more than 180 days must
 19 be referred to the department of treasury for collection.

20 (3) A committee, other than a candidate committee or a
 21 committee making expenditures in assistance of or in opposition to
 22 the qualification, passage, or defeat of a ballot question,
 23 required to file with the secretary of state is not required to pay
 24 a late filing fee under sections 24 ~~, and~~ 33 ~~, 34, and 35,~~ if all
 25 of the following conditions are met:

26 (a) A committee required to register as a committee fails to
 27 file a statement of organization.

28 (b) The secretary of state sends to that committee notice of
 29 the committee's failure to file a statement of organization.



1 (c) At the same time or after the notice described in
2 subdivision (b) is sent, the secretary of state sends to that
3 committee notice of the committee's failure to file a campaign
4 statement that was due for a period that occurred before the notice
5 of failure to file a statement of organization was sent.

6 (d) ~~Within~~ **Not later than** 10 business days after the notice of
7 failure to file a statement of organization is sent, the committee
8 files a statement of organization.

9 (e) ~~Within~~ **Not later than** 10 business days after the notice of
10 failure to file a campaign statement is sent, the committee files
11 every campaign statement that is due.

12 (4) Late filing fees that would have occurred except for
13 subsection (3) must be assessed for each statement not filed before
14 the eleventh business day after a notice of failure to file is sent
15 under subsection (3).

16 (5) A committee other than a candidate committee that has not
17 previously filed a statement of organization is not required to pay
18 a late filing fee under sections 24 ~~, and 33, 34, and 35,~~ if the
19 committee files a statement of organization and every campaign
20 statement that is due, before the secretary of state sends a notice
21 to that committee under subsection (3).

22 Sec. 24b. (1) One or more persons may create an independent
23 expenditure committee and shall file a statement of organization
24 under section 24. An independent expenditure committee shall file
25 campaign statements under ~~sections~~ **section** 33 ~~and 35~~ and as
26 otherwise provided in this act.

27 (2) An independent expenditure committee may receive
28 contributions from any person, except a person prohibited from
29 making a contribution under 52 USC 30121. An independent



1 expenditure committee shall return a contribution made by a person
 2 prohibited from making a contribution under this subsection ~~within~~
 3 **not later than** 30 business days after receiving that contribution.

4 (3) In addition to any independent expenditures or other
 5 disbursements not prohibited by this act or any other law, an
 6 independent expenditure committee may make contributions to another
 7 independent expenditure committee or to a ballot question
 8 committee.

9 (4) An independent expenditure committee shall not make a
 10 contribution to a candidate committee, independent committee,
 11 political committee, political party committee, or house or senate
 12 political party caucus committee.

13 (5) An individual who knowingly violates or causes a person to
 14 violate subsection (4) is guilty of a felony punishable by
 15 imprisonment for not more than 3 years or a fine of not more than
 16 \$5,000.00, or both. A person that violates subsection (4) that is
 17 not an individual is subject to 1 of the following, whichever is
 18 greater:

19 (a) A fine of not more than \$20,000.00.

20 (b) A fine of not more than triple the amount of the improper
 21 contribution or expenditure.

22 Sec. 33. ~~(1) A committee, other than an independent committee,~~
 23 ~~an independent expenditure committee, or a political committee~~
 24 ~~required to file with the secretary of state, supporting or~~
 25 ~~opposing a candidate shall file complete campaign statements as~~
 26 ~~required by this act and the rules promulgated under this act~~
 27 ~~according to the following schedule:~~

28 ~~(a) A preelection campaign statement must be filed not later~~
 29 ~~than the eleventh day before an election. The closing date for a~~



~~campaign statement filed under this subdivision is the sixteenth day before the election.~~

~~(b) A postelection campaign statement must be filed not later than the thirtieth day following the election. The closing date for a campaign statement filed under this subdivision is the twentieth day following the election. A committee supporting a candidate who loses the primary election shall file closing campaign statements in accordance with this section. If all liabilities of that candidate or committee are paid before the closing date and additional contributions are not expected, the campaign statement may be filed at any time after the election, but not later than the thirtieth day following the election.~~

~~(c) For candidate committees only, in a year in which there is no election for the candidate the candidate committee is supporting or opposing:~~

~~(i) Not later than July 25 with a closing date of July 20 of that year.~~

~~(ii) Not later than October 25 with a closing date of October 20 of that year.~~

~~(2) For the purposes of subsection (1):~~

(1) Candidate committees shall file a postelection campaign statement following the election in which the candidate appeared on the ballot as follows:

~~(a) A candidate committee shall file a preelection campaign statement and a postelection campaign statement for each election in which the candidate seeks nomination or election. , except if an individual becomes a candidate after the closing date for the preelection campaign statement only the postelection campaign statement is required for that election.~~



1 (b) A candidate committee shall file a postelection campaign
2 statement not more than 14 days after the election. The closing
3 date for a campaign statement filed under this subdivision is 7
4 days after the election. If all liabilities of the candidate or
5 committee are paid before the closing date and additional
6 contributions are not expected, the committee may file the campaign
7 statement any time between the election and 14 days after the
8 election.

9 (c) A committee supporting a candidate who loses the primary
10 election shall file a closing campaign statement under this
11 section.

12 (2) If a candidate appears on the ballot during an election
13 that occurs on a date other than a regular election date as
14 described under section 641(1) of the Michigan election law, 1954
15 PA 116, MCL 168.641, the candidate shall do all of the following,
16 as applicable:

17 (a) File a postelection campaign statement required under
18 subsection (1).

19 (b) If the date of the election is more than 16 days after the
20 due date of a campaign statement required under subsection (4),
21 file a pre-election campaign statement not later than 11 days
22 before the special election. The closing date for a campaign
23 statement filed under this subdivision is 16 days before the
24 election. Notwithstanding other reports required under this act, if
25 the date of the election under this subsection is less than 17 days
26 after the due date of a campaign statement required under
27 subsection (4), the committee has no additional reporting
28 obligations.

29 (3) ~~(b)~~ A committee other than a candidate committee shall



1 file a campaign statement for each period during which expenditures
 2 are made for the purpose of influencing the nomination or election
 3 of a candidate or for the qualification, passage, or defeat of a
 4 ballot question.

5 **(4)** ~~(3) An independent committee, an independent expenditure~~
 6 ~~committee, or a political committee other than a house political~~
 7 ~~party caucus committee or senate political party caucus committee~~
 8 ~~required to file with the secretary of state~~ **All committees** shall
 9 file campaign statements as required by this act according to the
 10 following schedule:

11 **(a) Not later than February 15 of each year with a closing**
 12 **date of February 10 of that year.**

13 **(b)** ~~(a)~~ Not later than April 25 of each year with a closing
 14 date of April 20 of that year.

15 **(c)** ~~(b)~~ Not later than July 25 of each year with a closing
 16 date of July 20 of that year.

17 **(d)** ~~(e)~~ Not later than October 25 of each year with a closing
 18 date of October 20 of that year.

19 **(5) A ballot question committee supporting or opposing a**
 20 **statewide ballot question shall file a campaign statement not later**
 21 **than 35 days after the petition form is filed under section 483a of**
 22 **the Michigan election law, 1954 PA 116, MCL 168.483a, with a**
 23 **closing date 28 days after the filing of the petition form.**

24 **(6) A separate segregated fund filing a campaign statement**
 25 **under this section shall report on the campaign statement the**
 26 **number of items for each item type sold or offered in exchange for**
 27 **a contribution for fundraising purposes where a connected**
 28 **organization paid any costs of the item under section 55(8) during**
 29 **the reporting period covered by the campaign statement.**



1 (7) ~~(4)~~ **A-In addition to the campaign statement reports**
 2 **required under subsection (4),** a house political party caucus
 3 committee or a senate political party caucus committee required to
 4 file with the secretary of state or a political party committee for
 5 a party attempting to qualify as a new political party under
 6 section 685 of the Michigan election law, 1954 PA 116, MCL 168.685,
 7 shall file campaign statements as required by this act according to
 8 the following schedule:

9 ~~(a) Not later than January 31 of each year with a closing date~~
 10 ~~of December 31 of the immediately preceding year.~~

11 ~~(b) Not later than April 25 of each year with a closing date~~
 12 ~~of April 20 of that year.~~

13 ~~(c) Not later than July 25 of each year with a closing date of~~
 14 ~~July 20 of that year.~~

15 ~~(d) Not later than October 25 of each year with a closing date~~
 16 ~~of October 20 of that year.~~

17 **(a) ~~(e)~~ For the period beginning on the fourteenth day 14 days**
 18 immediately preceding a primary or special primary election and
 19 ending on the day immediately following the primary or special
 20 primary election, not later than 4 p.m. each business day with a
 21 closing date of the immediately preceding day, only for a
 22 contribution received or expenditure made that exceeds \$1,000.00
 23 per day.

24 **(b) ~~(f)~~ For the period beginning on the fourteenth day 14 days**
 25 immediately preceding a general or special election and ending on
 26 the day immediately following the general or special election, not
 27 later than 4 p.m. each business day with a closing date of the
 28 immediately preceding day, only for a contribution received or
 29 expenditure made that exceeds \$1,000.00 per day.



1 **(8)** ~~(5)~~—Notwithstanding subsection ~~(3)~~ **(1)** or (4) or section
 2 51, if an independent expenditure is made within 45 days before a
 3 special election by an independent committee, an independent
 4 expenditure committee, or a political committee required to file a
 5 campaign statement with the secretary of state, the committee shall
 6 file a report of the expenditure with the secretary of state ~~within~~
 7 **not later than** 48 hours after the expenditure. The report must be
 8 made on a form provided by the secretary of state and must include
 9 the date of the independent expenditure, the amount of the
 10 expenditure, a brief description of the nature of the expenditure,
 11 and the name and address of the person to whom the expenditure was
 12 paid. The brief description of the expenditure must include either
 13 the name of the candidate and the office sought by the candidate or
 14 the name of the ballot question and state whether the expenditure
 15 supports or opposes the candidate or ballot question. This
 16 subsection does not apply if the committee is required to report
 17 the independent expenditure in a campaign statement that is
 18 required to be filed before the date of the election for which the
 19 expenditure was made.

20 **(9)** ~~(6)~~—A candidate committee or a committee other than a
 21 candidate committee that files a written statement under section
 22 24(5) or (6) or that is automatically considered to have made a
 23 statement under section 24(5) is not required to file a campaign
 24 statement under subsection (1) ~~, (3), or~~ (4) unless it received or
 25 expended an amount in excess of \$1,000.00. If the committee
 26 receives or expends an amount in excess of \$1,000.00 during a
 27 period covered by a filing, the committee is then subject to the
 28 campaign filing requirements under this act.

29 **(10)** ~~(7)~~—A committee, candidate, treasurer, or other



individual designated as responsible for the committee's record keeping, report preparation, or report filing who fails to file a statement as required by this section shall pay a late filing fee. If the committee has raised **less than \$1,000.00 during the previous 2 years, the late filing fee is \$25.00 for each business day the statement remains unfiled but not to exceed \$100.00. If the committee has raised more than \$1,000.00 but less than \$10,000.00** ~~or less~~ during the previous 2 years, the late filing fee is \$25.00 for each business day the statement remains unfiled, but not to exceed \$500.00. If the committee has raised more than \$10,000.00 during the previous 2 years, the late filing fee must not exceed \$1,000.00, determined as follows:

(a) Twenty-five dollars for each business day the report remains unfiled.

(b) An additional \$25.00 for each business day after the first 3 business days the report remains unfiled.

(c) An additional \$50.00 for each business day after the first 10 business days the report remains unfiled.

(11) ~~(8)~~ If a candidate, treasurer, or other individual designated as responsible for the committee's record keeping, report preparation, or report filing fails to file 2 statements required ~~by~~ **under** this section ~~or section 35~~ and both of the statements remain unfiled for more than 30 days, that candidate, treasurer, or other designated individual is guilty of a misdemeanor punishable by ~~a fine of not more than \$1,000.00 or~~ imprisonment for not more than 90 days **or a fine of not more than \$1,000.00, or both.**

(12) If a treasurer or other individual designated as responsible for the record keeping, report preparation, or report



1 filing of a ballot question committee fails to file a statement as
 2 required under subsection (4) for more than 7 days, the treasurer
 3 or other designated individual is guilty of a misdemeanor
 4 punishable by imprisonment for not more than 90 days or a fine of
 5 not more than \$1,000.00, or both.

6 (13) ~~(9)~~—If a candidate is found guilty of a violation of this
 7 section, the circuit court for that county, on application by the
 8 attorney general or the prosecuting attorney of that county, may
 9 prohibit that candidate from assuming the duties of a public office
 10 or from receiving compensation from public funds, or both.

11 (14) ~~(10)~~—If a candidate, treasurer, or other individual
 12 designated as responsible for a committee's record keeping, report
 13 preparation, or report filing knowingly files an incomplete or
 14 inaccurate statement or report required by this section, that
 15 individual is subject to a civil fine of not more than \$1,000.00.

16 (15) ~~(11)~~—If a candidate, treasurer, or other individual
 17 designated as responsible for a committee's record keeping, report
 18 preparation, or report filing knowingly omits or underreports
 19 individual contributions or individual expenditures required to be
 20 disclosed by this act, that individual is subject to a civil fine
 21 of not more than \$1,000.00 or the amount of the contributions and
 22 expenditures omitted or underreported, whichever is greater.

23 (16) ~~(12)~~—If a candidate committee's account has a balance of
 24 \$20,000.00 or more and a candidate, treasurer, or other individual
 25 designated as responsible for that committee's record keeping,
 26 report preparation, or report filing fails to file campaign
 27 statements required under this act for 2 consecutive years, that
 28 candidate, treasurer, or other individual is guilty of a felony
 29 punishable by imprisonment for not more than 3 years or a fine of



1 not more than \$5,000.00, or both. Any money in a candidate
2 committee account described in this subsection is subject to
3 seizure by, and forfeiture to, this state as provided in this
4 section.

5 **(17)** ~~(13)~~—Not more than 5 business days after seizure of money
6 under subsection ~~(12)~~, **(16)**, the secretary of state shall deliver
7 personally or by registered mail to the last known address of the
8 candidate from whom the seizure was made an inventory statement of
9 the money seized. The inventory statement must also contain notice
10 to the effect that unless demand for hearing as provided in this
11 section is made within 10 business days, the money is forfeited to
12 this state. ~~Within~~ **Not later than** 10 business days after the date
13 of service of the notice, the candidate may by registered mail,
14 facsimile transmission, or personal service file with the secretary
15 of state a demand for a hearing before the secretary of state or a
16 person designated by the secretary of state for a determination as
17 to whether the money was lawfully subject to seizure and
18 forfeiture. The candidate is entitled to appear before the
19 secretary of state or a person designated by the secretary of
20 state, to be represented by counsel, and to present testimony and
21 argument. ~~Upon~~ **On** receipt of a request for hearing, the secretary
22 of state or a person designated by the secretary of state shall
23 hold the hearing within 15 business days. The hearing is not a
24 contested case proceeding and is not subject to the administrative
25 procedures act of 1969, 1969 PA 306, MCL 24.201 to 24.328. After
26 the hearing, the secretary of state or a person designated by the
27 secretary of state shall render a decision in writing ~~within~~ **not**
28 **later than** 10 business days of the hearing and, by order, shall
29 either declare the money subject to seizure and forfeiture or



1 declare the money returnable to the candidate. If, ~~within-not later~~
 2 ~~than~~ 10 business days after the date of service of the inventory
 3 statement, the candidate does not file with the secretary of state
 4 a demand for a hearing before the secretary of state or a person
 5 designated by the secretary of state, the money seized is forfeited
 6 to this state by operation of law. If, after a hearing before the
 7 secretary of state or a person designated by the secretary of
 8 state, the secretary of state or a person designated by the
 9 secretary of state determines that the money is lawfully subject to
 10 seizure and forfeiture and the candidate does not appeal to the
 11 circuit court of the county in which the seizure was made within
 12 the time prescribed in this section, the money seized is forfeited
 13 to this state by operation of law. If a candidate is aggrieved by
 14 the decision of the secretary of state or a person designated by
 15 the secretary of state, that candidate may appeal to the circuit
 16 court of the county where the seizure was made to obtain a judicial
 17 determination of the lawfulness of the seizure and forfeiture. The
 18 action must be commenced ~~within-not later than~~ 20 days after notice
 19 of a determination by the secretary of state or a person designated
 20 by the secretary of state is sent to the candidate. The court shall
 21 hear the action and determine the issues of fact and law involved
 22 in accordance with rules of practice and procedure as in other in
 23 rem proceedings.

24 Sec. 82. (1) The penalty provisions of this act ~~shall-do~~ not
 25 apply to an act or omission occurring before December 1, 1977
 26 except that a late filing fee ~~shall-is~~ not ~~be~~ due or payable for an
 27 act or omission occurring before May 16, 1978 provided the act or
 28 omission is corrected before May 16, 1978. If a late filing fee has
 29 been paid before that date, it ~~shall-must~~ be returned by the person



1 who collected the late filing fee ~~upon~~**on** written request of the
2 person who paid the late filing fee.

3 (2) A penalty or late filing fee imposed ~~pursuant to~~**under**
4 section 24 ~~, 34,~~ or **former section 34 or** 35 ~~shall~~**must** neither be
5 enforceable nor due or payable as a result of a person making
6 expenditures of \$200.00 or more as a contribution to a ballot
7 question committee before October 15, 1981. If a person has paid a
8 late filing fee as a result of an expenditure of \$200.00 or more as
9 a contribution to a ballot question committee before July 1, 1981,
10 the late filing fee imposed ~~pursuant to~~**under** section 24 ~~, 34,~~ or
11 **former section 34 or** 35 ~~shall~~**must** be returned by the person who
12 collected the late filing fee ~~upon~~**on** written request of the person
13 who paid it.

14 ~~(3) Section 35 shall not take effect until June 30, 1978.~~

15 Enacting section 1. Sections 34 and 35 of the Michigan
16 campaign finance act, 1976 PA 388, MCL 169.234 and 169.235, are
17 repealed.

